

BTC Treasury Board Policy Template

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Idea 1 BTC Treasury Derivatives Policy Template v0

Purpose: Board-level policy template for a public or private company holding strategic BTC reserves and considering limited BTC option overlays for income generation, downside protection, or liability/runway management.

Status: Template for counsel/auditor/board review. Not legal, tax, accounting, investment, or derivatives advice.

Use case: BTC treasury covered-call, collar, and put-spread collar programs.

1. Board resolution summary

The board authorizes management to evaluate and, subject to final approvals, implement a limited BTC treasury derivatives program designed to:

1. preserve the company's long-term strategic BTC position;
2. generate recurring option premium on a defined minority sleeve of holdings;
3. provide partial downside protection against severe BTC drawdowns;
4. support liquidity planning for debt service, preferred dividends, operating runway, or capital expenditures;
5. avoid forced BTC sales during market stress;
6. operate within strict risk, collateral, accounting, disclosure, and counterparty controls.

The program is not intended to convert the company into a trading company, investment fund, commodity pool, or speculative derivatives vehicle.

2. Strategic principles

2.1 Preserve strategic BTC ownership

The company's core BTC holdings remain strategic treasury assets. Derivatives may only be applied to a defined minority sleeve of holdings or economically equivalent exposure.

2.2 No uncontrolled leverage

The program may not create open-ended leverage, uncapped losses, or collateral obligations that could impair the company's operating liquidity.

2.3 Board-governed optionality monetization

Covered-call sales, collars, and put-spread collars must be structured as disciplined treasury overlays, not discretionary trading.

2.4 Downside protection before yield maximization

The company may monetize volatility, but the program should prioritize liquidity resilience, risk control, and balance-sheet durability over maximum premium income.

2.5 Transparency and auditability

All trades must be documented, independently valued, reconciled, and reviewed under accounting, disclosure, and internal-control procedures.

3. Permitted objectives

The program may be used for the following objectives:

- generate option premium on a capped minority sleeve of BTC exposure;
- fund or partially offset operating expenses, debt service, preferred dividends, taxes, or capex;
- establish downside floors or drawdown bands;
- reduce probability of forced BTC liquidation;
- improve board/lender visibility into treasury liquidity under stress;
- evaluate institutional risk-transfer alternatives across ETF, CME, OTC, and other legally approved venues.

The program may not be used for:

- speculative directional trading;
- increasing net BTC exposure beyond approved treasury policy;
- naked short option exposures without fully approved risk limits;
- derivatives unrelated to the company's BTC treasury exposure or liquidity needs;
- trades that would materially alter the company's business classification without board/counsel approval.

4. Eligible exposure

Eligible exposure may include:

1. unencumbered BTC held by the company;
2. BTC held through approved custodians;
3. spot BTC ETF shares held by the company;
4. CME futures/options or OTC derivatives used solely as hedging/overlay instruments after counsel review;

5. other economically equivalent BTC exposure approved by the board.

Excluded exposure:

- BTC pledged to lenders unless lender consent is received;
- BTC subject to liens, lockups, custody restrictions, or contractual encumbrances;
- BTC needed for near-term operations or collateral;
- BTC for which derivative overlay would create disclosure, accounting, tax, or covenant issues not yet reviewed.

5. Approved instruments

5.1 Initially permitted, subject to execution approval

- covered calls on approved BTC exposure;
- protective puts;
- collars;
- put-spread collars;
- call-spread-financed put spreads;
- listed BTC ETF options;
- CME BTC futures/options where appropriate;
- OTC BTC options/swaps under approved ISDA/CSA or equivalent documentation.

5.2 Not permitted unless separately approved

- naked short puts;
- naked short calls beyond covered exposure;
- leveraged option packages with uncapped downside;
- exotic options with path-dependent margin or valuation complexity;
- autocallables/reverse convertibles issued by the company;
- transactions with affiliated or conflicted counterparties;
- offshore exchange transactions unless counsel specifically approves.

6. Program limits

6.1 Total program sleeve

Initial maximum program sleeve:

- ****10% of total BTC-equivalent holdings****, unless board approves otherwise.

Hard maximum without renewed board approval:

- **20% of total BTC-equivalent holdings**.

6.2 Single-expiry limit

Maximum exposure in any single expiry:

- **3–5% of total BTC-equivalent holdings**.

6.3 Tenor limits

Permitted tenor range:

- **30–180 days**.

Requires special approval:

- less than 14 days;
- more than 180 days;
- event-specific tenors around earnings, financing, covenant tests, or major BTC market events.

6.4 Strike/floor/cap guidelines

Covered calls:

- initial guideline: **15–25% OTM**;
- calls inside 10% OTM require special approval unless tied to a liability window.

Protective puts/collars:

- floors typically between **80–90% of spot**;
- floors above 90% require premium/cost justification.

Put-spread collars:

- long put generally 85–90% of spot;
- short put generally 70–80% of spot;
- short call generally 115–125% of spot;
- long call generally 125–140% of spot where used to cap upside give-up.

6.5 Premium/cost limits

Maximum net premium paid for protection in a single program cycle:

- [X]% of covered notional, or
- board-approved dollar budget.

Minimum premium/yield hurdle for covered-call sales:

- [X]% annualized after estimated costs, unless trade is part of a broader collar.

6.6 Collateral and liquidity limits

The program may not require collateral or margin exceeding:

- [X]% of unrestricted cash;
- [X]% of unencumbered BTC;
- [X]% of projected 90-day operating liquidity.

Management must maintain stress liquidity for:

- BTC $\pm 20\%$, $\pm 30\%$, $\pm 40\%$ moves;
- volatility spike;
- margin haircut increase;
- counterparty downgrade;
- exchange or custodian outage.

7. Counterparty and venue policy

Permitted venues/counterparties may include:

- regulated broker-dealers/options brokers;
- FCMs for CME products;
- regulated banks or swap dealers;
- approved OTC derivatives counterparties;
- approved prime brokers/custodians;
- other venues approved by counsel and the board.

Counterparty requirements:

- KYC/AML/sanctions review;
- credit review;
- regulatory status review;
- documentation review;
- margin/collateral terms;
- valuation/dispute process;
- close-out/netting analysis;
- operational settlement review;
- no material conflicts without board disclosure.

Counterparty concentration limit:

- No more than [X]% of derivatives exposure or collateral with one counterparty unless approved.

8. Documentation requirements

Before execution, each transaction must have:

- approved trade ticket;
- structure description;
- objective and exposure being hedged/monetized;
- notional and BTC-equivalent exposure;
- expiry;
- strikes;
- premium/debit/credit;
- Greeks and scenario analysis;
- margin/collateral estimate;
- source of quote;
- execution-confidence label;
- accounting treatment memo or preliminary review;
- disclosure/covenant checklist;
- approval signatures.

For OTC transactions:

- ISDA Master Agreement;
- Schedule;
- Credit Support Annex/Deed;
- confirmations;
- digital asset definitions;
- reference price/source/fallback language;
- fork/airdrop/protocol event treatment;
- valuation agent and dispute mechanics;
- close-out provisions.

9. Approval authority

9.1 Board approval required

- initial program adoption;
- changes to total program sleeve;
- new instrument categories;
- new counterparty categories;
- OTC documentation templates;

- structured products;
- principal risk-taking beyond treasury overlay;
- exceptions to risk limits.

9.2 Committee approval required

- quarterly program plan;
- counterparty list;
- maximum notional per tenor;
- premium/cost budget;
- collateral allocation;
- disclosure approach.

9.3 Management approval permitted

Within approved limits, management may execute trades if authorized by:

- CFO / Treasurer;
- Chief Risk Officer or equivalent;
- General Counsel / outside counsel signoff where required;
- Controller/accounting signoff for treatment/valuation.

9.4 Emergency authority

Emergency actions may include:

- closing positions;
- reducing exposure;
- transferring collateral;
- suspending the program.

Emergency trades must be reported to the board or committee within [24/48] hours.

10. Accounting, valuation, and controls

The company must maintain procedures for:

- ASC 815 derivative accounting review;
- FASB crypto asset fair-value treatment review;
- hedge accounting analysis if applicable;
- independent valuation;
- daily/weekly mark-to-market;
- confirmation matching;

- collateral reconciliation;
- journal-entry review;
- fair-value hierarchy support;
- disclosure controls;
- internal control over financial reporting.

Valuation sources should be approved and ranked:

1. executed trade/clearing price;
2. exchange settlement/official mark;
3. independent broker/dealer quotes;
4. vendor marks;
5. internal model, with documented assumptions.

11. Disclosure and communications policy

All external communications regarding the program must be reviewed by legal counsel.

Potential disclosure areas:

- risk factors;
- MD&A liquidity/trends;
- market-risk disclosures;
- derivative accounting disclosures;
- material agreement / Form 8-K analysis;
- covenant/collateral impact;
- non-GAAP or performance metrics;
- investor presentations;
- social media or executive public statements.

Prohibited language:

- guaranteed yield;
- risk-free income;
- arbitrage profit;
- no downside risk;
- executable pricing based only on screen marks;
- statements implying the program eliminates BTC volatility.

Preferred language:

- partial premium monetization;
- defined downside band;

- minority sleeve;
- screen-only / quote-verified / trade-verified;
- board-approved risk limits;
- subject to market, liquidity, accounting, legal, and counterparty risk.

12. Reporting package

Management should provide the board/committee a report at least monthly, or more frequently during market stress.

Report fields:

- total BTC-equivalent holdings;
- program sleeve used;
- open positions by expiry/strike;
- premiums received/paid;
- mark-to-market P&L;
- realized P&L;
- collateral posted;
- available liquidity;
- counterparty exposure;
- Greeks by position and aggregate;
- stress scenarios;
- upcoming expiries;
- exceptions/breaches;
- disclosure/accounting updates.

Stress scenarios:

- BTC -20%, -30%, -40%;
- BTC +20%, +50%, +100%;
- volatility +25/+50 vol points;
- liquidity gap / no bid;
- counterparty default;
- custodian outage;
- collateral haircut increase.

13. Risk limits and escalation

Immediate escalation required if:

- collateral usage exceeds [X]% of limit;
- BTC price breaches defined stress level;
- counterparty fails margin/payment obligation;
- valuation dispute exceeds [X];
- position exceeds approved notional/tenor/strike limits;
- covenant headroom changes materially;
- auditor flags accounting/control issue;
- legal counsel flags disclosure or regulatory concern;
- program loss exceeds [X] threshold;
- operational/custody issue affects settlement.

Possible escalation actions:

- suspend new trades;
- reduce or close positions;
- add collateral;
- novate or transfer exposure;
- change counterparty limits;
- notify lenders/auditors/board;
- update disclosure.

14. Example approved starter program

For a company holding **10,000 BTC**:

Program size

- total program sleeve: 1,000 BTC / 10%;
- max single expiry: 300–500 BTC;
- 9,000 BTC remains untouched.

Income sleeve

- 500 BTC;
- staggered 30–90D covered calls;
- 15–25% OTM strikes;
- no more than 250 BTC per expiry.

Protection sleeve

- 500 BTC;
- 90–150D put-spread collars;
- long put 85–90%;
- short put 70–80%;

- short call 115–125%;
- long call 130–140% where appropriate.

Program review

- monthly mark/report;
- quarterly board review;
- immediate review after BTC $\pm 30\%$ move or major volatility spike.

15. Pre-trade checklist

Before any transaction:

- ☐ Exposure is eligible and unencumbered.
- ☐ Trade fits permitted instrument list.
- ☐ Notional is within program sleeve.
- ☐ Expiry is within tenor limit.
- ☐ Strike/floor/cap meets guidelines or exception approved.
- ☐ Quote source and confidence label recorded.
- ☐ All-in cost/premium calculated.
- ☐ Margin/collateral stress tested.
- ☐ Accounting review completed.
- ☐ Disclosure review completed.
- ☐ Covenant/lender review completed.
- ☐ Counterparty approved.
- ☐ Trade ticket approved by authorized signers.
- ☐ Settlement/custody process confirmed.
- ☐ Post-trade reporting process ready.

16. Post-trade checklist

After execution:

- ☐ Confirm trade economics against ticket.
- ☐ Reconcile confirmation.
- ☐ Book accounting entry.
- ☐ Update position report.
- ☐ Update collateral report.
- ☐ Update Greeks/stress table.

- [] Store quote/execution evidence.
- [] Monitor disclosure/materiality triggers.
- [] Schedule expiry/roll review.

17. Annual review

At least annually, the board or committee should review:

- whether program objectives remain valid;
- performance vs objectives;
- realized and unrealized P&L;
- liquidity and collateral impact;
- accounting/audit findings;
- disclosure history;
- counterparty performance;
- changes in BTC market structure;
- regulatory developments;
- changes to risk limits or approved instruments.

18. Policy adoption language

The board adopts this BTC Treasury Derivatives Policy as of [date], subject to final legal, tax, accounting, auditor, lender, and counterparty review.

No transaction may be executed unless it complies with this policy or receives documented exception approval.

The board may amend, suspend, or terminate the program at any time.

19. Important disclaimer

This template is for institutional planning and policy design only. It is not legal, tax, accounting, investment, derivatives, or fiduciary advice. Any company considering BTC derivatives should consult qualified securities, commodities, tax, accounting, auditor, lender, and derivatives counsel before executing any transaction.